



Our ref: IM-72998

31 July 2025

Dear Interested Party

ACCC seeking your views: CAR Group's proposed acquisition of Machines4U

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on CAR Group Limited (**CAR Group**)'s proposed acquisition of 100% of the shares in Mojo Holdco Pty Ltd, the holding company for Machines4U (together, **Machines4U**) (the **Proposed Acquisition**).

CAR Group and Machines4U both supply online listings services to both buyers and sellers of new and used industrial machinery, and online display advertising services in Australia. Further details are provided at **Attachment A**.

The ACCC's investigation is focused on the impact of the Proposed Acquisition on competition in Australia. In particular, we are seeking your views on:

- how closely CAR Group and Machines4U compete in the supply of online listings services for industrial machinery
- the extent to which alternative suppliers of online listings services for industrial machinery would competitively constrain the merged entity
- the likely impact of the Proposed Acquisition on prices and quality of online listings services for industrial machinery
- the likely impact of CAR Group's increased online presence on the market for online display advertising services in Australia.

Further issues you may wish to address are set out at **Attachment B**.

This matter is public, and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **5pm on 14 August 2025** via email to mergers@accc.gov.au with the title: *Submission re: CAR Group – Machines4U*. If you require more time to respond, please let us know.

If you would like to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the Proposed Acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely

A handwritten signature in grey ink, appearing to read 'DMcCracken-Hewson', with a long horizontal flourish extending to the right.

Daniel McCracken-Hewson
General Manager
Merger Assessments

Attachment A

The acquirer – CAR Group

CAR Group is an ASX-listed (ASX:CAR) online listings company operating in Australia, the United States, South Korea, Chile and Brazil.

In Australia, CAR Group's business is focused on carsales.com.au, an online listings portal for new and used cars. Relevant to the Proposed Acquisition, CAR Group also operates online listings portals for new and used industrial machinery through constructionsales.com.au, farmmachinerysales.com.au and trucksales.com.au.

The target – Machines4U

Machines4U is an Australian online listings portal specialising in new and used industrial machinery, which operates machines4u.com.au.

The Proposed Acquisition

CAR Group, through its wholly-owned subsidiary, carsales.com.au Pty Ltd, proposes to acquire 100% of the shares in Mojo Holdco Pty Ltd, which is the holding company of Machines4U.

Industry background

Industrial machinery encompasses a wide range of machines and related equipment used for industrial applications, including mining, construction and farming.

Industrial machinery is typically used for commercial purposes and often requires specialised skills and knowledge to operate, including some equipment requiring licences. As a result, the purchase and sale of new and used industrial machinery generally involves business-to-business transactions.

Sellers of industrial machinery (i.e. dealers and private sellers) may choose to list products for sale on online listings portals specialising in industrial machinery, general online marketplaces or auction businesses that offer industrial machinery. We understand a large proportion of listings are posted by dealers. A seller's choice of sales method may be influenced by factors including the size of the buyer audience accessible through a particular channel, fee model and selling costs and convenience.

Similarly, buyers of industrial machinery (i.e. private buyers and dealers) can search for industrial machinery for sale through various platforms. We understand, buyers of industrial machinery may also use multiple online listings portals simultaneously in order to search for and compare similar items.

Attachment B

1. Provide a brief description of your business or organisation.
2. Outline the reasons for your interest in the Proposed Acquisition, including any commercial relationship(s) with CAR Group and/or Machines4U.

Online listings services for industrial machinery

3. How closely do CAR Group and Machines4U compete in the supply of online listings services for industrial machinery in Australia, taking into account factors such as:
 - a. price, including fee model and any volume discounts,
 - b. quality, including factors such as the type and range of industrial machinery and number of potential buyers, and
 - c. reputation.
4. Identify and describe the main competitors of CAR Group and Machines4U in the supply of online listings services for industrial machinery.
5. Discuss the extent to which the following businesses provide a competitive constraint on online listings portals specialising in industrial machinery, such as CAR Group and Machines4U:
 - a. online listings portals affiliated with trade magazines or newsletters relating to industrial machinery e.g. Prime Creative Media's or Sandhills Global's online listings portals such as *arborage.com.au*, *australianmining.com.au*, *bigrigs.com.au*, *cranesandlifting.com.au*, *tradeearthmovers.com.au*, *tradefarmmachinery.com.au*, *machinerytrader.com.au*, *tractorhouse.com.au* etc.
 - b. online marketplaces e.g. Facebook, Gumtree, eBay, Trading Post
 - c. online auction businesses, including those that have developed online listings portal as part of their auction website e.g. Ritchie Brothers, Grays, Pickles
 - d. independent dealers' or original equipment manufacturers' websites.
6. Describe factors (for example, number of potential buyers, listing fees, search functionality) that are important to sellers in deciding which platforms to list industrial machinery on.
7. Explain whether sellers list the same industrial machinery on multiple platforms, and reasons why or why not.
8. Discuss the likelihood of, and timeframe for, new entry or expansion in the supply of online listing services for industrial machinery, including any barriers to entry.
9. In deciding which online listings platforms to list industrial machinery on, explain whether sellers are typically influenced by where the product is physically located and intended to be sold (e.g. within a specific State or Territory). Discuss any limitations or practical considerations (e.g. transport logistics, demand patterns, inspection or regulatory requirements) that may influence sellers' choice of online listings platform.

10. For potential buyers of industrial machinery who use online listings platforms, please identify:
- a. which platforms you search for industrial machinery on, including whether you search on multiple listings platforms
 - b. factors (for example, range, quantity and quality of industrial machinery available, amount of information available about machinery, platform ease of use, particular functionality offered on a platform (e.g. auctions)) that are important when deciding which platforms to search on, and
 - c. whether you tend to search for industrial machinery within your State or Territory or search for machinery across Australia. Discuss any limitations (e.g. transport costs, inspection or regulatory requirements etc.) that may affect your ability or willingness to purchase machinery located in another State or Territory.

Online display advertising services

11. Please identify the channels you use for advertising (e.g. online listings portals, social media etc.). If you advertise on CAR Group and/or Machines4U websites, please identify the specific websites on which you acquire display advertising space.
- a. If possible, provide the share of your display advertising spend allocated to CAR Group and Machines4U vs other channels.
 - b. Alternatively, please note if CAR Group and Machines4U represent a significant portion of your display advertising spend.
12. What (if anything) distinguishes the display advertising services offered by CAR Group and Machines4U's platforms from services offered by other advertising channels including, online advertising platforms?

Additional information

13. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the Proposed Acquisition.